

Damaged & Defective Items Policy

NorthStar Commerce — Customer Operations | POL-CX-005 | type=damaged | v1.3 | status=active

1. Purpose & Scope

This Damaged & Defective Items Policy ('the Policy') governs how NorthStar Commerce Customer Operations identifies, investigates, and resolves damaged-related situations across all sales channels (web, mobile app, phone, email, partner marketplace). It applies to all consumer and small-business orders fulfilled through NorthStar distribution centers and approved third-party carriers. The Policy is binding on all customer-operations agents, team leads, quality reviewers, and automated resolution systems. Any deviation requires documented approval from the CX Policy Team and is logged for audit. The Policy is reviewed quarterly and supersedes any prior guidance on the same subject matter.

2. Definitions

Claim. A customer-reported issue requiring a resolution decision.

Resolution. The action taken to close a claim: refund, replacement, credit, or escalation.

Clean claim history. An account with no prior refund abuse flags in the trailing 12 months.

Goodwill credit. Discretionary store credit issued to preserve customer satisfaction.

Escalation. Routing a claim to a human agent or specialist team for review.

SLA. Service-level agreement defining the maximum time to act on a claim.

Carrier signal. Tracking event reported by the shipping carrier (e.g., delivered, in transit).

3. Detailed Rules

DAMAGE-CLAIM — Reporting Window

Damaged or defective items must be reported within 14 days with photos. Approved claims receive a replacement or full refund including original shipping.

NO-RETURN-LOWVAL

For damaged items under \$25, no physical return is required; dispose locally.

4. Procedures

Agents follow these steps for damaged claims: (1) verify the customer's identity and account standing; (2) retrieve the order and carrier signal; (3) confirm the claim against the Detailed Rules above; (4) check the Exceptions section; (5) apply the resolution or escalate; (6) record the rule code and outcome. Steps must be completed within the SLA defined for this policy type.

5. Worked Examples

Example 1. A high-value account contacts support via phone regarding a damaged issue on an order valued at \$119, 8 days after the order date. The agent confirms the account standing, reviews the carrier signal, and applies rule DAMAGE-CLAIM from this Policy. If the conditions in DAMAGE-CLAIM are met, the agent resolves in the customer's favor and records the outcome; otherwise the case is routed per the escalation matrix below. Document POL-CX-005 reference DAMAGE-CLAIM-001 is attached to the case for audit.

Example 2. A B2B account contacts support via web regarding a damaged issue on an order valued at \$29, 8 days after the order date. The agent confirms the account standing, reviews the carrier signal, and applies rule DAMAGE-CLAIM from this Policy. If the conditions in DAMAGE-CLAIM are met, the agent resolves in the customer's favor and records the outcome; otherwise the case is routed per the escalation matrix below. Document POL-CX-005 reference DAMAGE-CLAIM-002 is attached to the case for audit.

Example 3. A first-time buyer contacts support via partner marketplace regarding a damaged issue on an order valued at \$89, 8 days after the order date. The agent confirms the account standing, reviews the carrier signal, and applies rule DAMAGE-CLAIM from this Policy. If the conditions in DAMAGE-CLAIM are met, the agent resolves in the customer's favor and records the outcome; otherwise the case is routed per the escalation matrix below. Document POL-CX-005 reference DAMAGE-CLAIM-003 is attached to the case for audit.

Example 4. A B2B account contacts support via mobile app regarding a damaged issue on an order valued at \$29, 16 days after the order date. The agent confirms the account standing, reviews the carrier signal, and applies rule DAMAGE-CLAIM from this Policy. If the conditions in DAMAGE-CLAIM are met, the agent resolves in the customer's favor and records the outcome; otherwise the case is routed per the escalation matrix below. Document POL-CX-005 reference DAMAGE-CLAIM-004 is attached to the case for audit.

Example 5. A loyalty member contacts support via phone regarding a damaged issue on an order valued at \$240, 23 days after the order date. The agent confirms the account standing, reviews the carrier signal, and applies rule DAMAGE-CLAIM from this Policy. If the conditions in DAMAGE-CLAIM are met, the agent resolves in the customer's favor and records the outcome; otherwise the case is routed per the escalation matrix below. Document POL-CX-005 reference DAMAGE-CLAIM-005 is attached to the case for audit.

Example 6. A new account contacts support via mobile app regarding a damaged issue on an order valued at \$89, 16 days after the order date. The agent confirms the account standing, reviews the carrier signal, and applies rule DAMAGE-CLAIM from this Policy. If the conditions in DAMAGE-CLAIM are met, the agent resolves in the customer's favor and records the outcome; otherwise the case is routed per the escalation matrix below. Document POL-CX-005 reference DAMAGE-CLAIM-006 is attached to the case for audit.

Example 7. A new account contacts support via phone regarding a damaged issue on an order valued at \$240, 23 days after the order date. The agent confirms the account standing, reviews the carrier signal, and applies rule DAMAGE-CLAIM from this Policy. If the conditions in DAMAGE-CLAIM are met, the agent resolves in the customer's favor and records the outcome;

otherwise the case is routed per the escalation matrix below. Document POL-CX-005 reference DAMAGE-CLAIM-007 is attached to the case for audit.

Example 8. A B2B account contacts support via web regarding a damaged issue on an order valued at \$175, 8 days after the order date. The agent confirms the account standing, reviews the carrier signal, and applies rule DAMAGE-CLAIM from this Policy. If the conditions in DAMAGE-CLAIM are met, the agent resolves in the customer's favor and records the outcome; otherwise the case is routed per the escalation matrix below. Document POL-CX-005 reference DAMAGE-CLAIM-008 is attached to the case for audit.

Example 9. A first-time buyer contacts support via phone regarding a damaged issue on an order valued at \$49, 5 days after the order date. The agent confirms the account standing, reviews the carrier signal, and applies rule DAMAGE-CLAIM from this Policy. If the conditions in DAMAGE-CLAIM are met, the agent resolves in the customer's favor and records the outcome; otherwise the case is routed per the escalation matrix below. Document POL-CX-005 reference DAMAGE-CLAIM-009 is attached to the case for audit.

Example 10. A high-value account contacts support via email regarding a damaged issue on an order valued at \$49, 5 days after the order date. The agent confirms the account standing, reviews the carrier signal, and applies rule DAMAGE-CLAIM from this Policy. If the conditions in DAMAGE-CLAIM are met, the agent resolves in the customer's favor and records the outcome; otherwise the case is routed per the escalation matrix below. Document POL-CX-005 reference DAMAGE-CLAIM-010 is attached to the case for audit.

Example 11. A loyalty member contacts support via web regarding a damaged issue on an order valued at \$410, 2 days after the order date. The agent confirms the account standing, reviews the carrier signal, and applies rule DAMAGE-CLAIM from this Policy. If the conditions in DAMAGE-CLAIM are met, the agent resolves in the customer's favor and records the outcome; otherwise the case is routed per the escalation matrix below. Document POL-CX-005 reference DAMAGE-CLAIM-011 is attached to the case for audit.

Example 12. A B2B account contacts support via partner marketplace regarding a damaged issue on an order valued at \$240, 8 days after the order date. The agent confirms the account standing, reviews the carrier signal, and applies rule DAMAGE-CLAIM from this Policy. If the conditions in DAMAGE-CLAIM are met, the agent resolves in the customer's favor and records the outcome; otherwise the case is routed per the escalation matrix below. Document POL-CX-005 reference DAMAGE-CLAIM-012 is attached to the case for audit.

Example 13. A B2B account contacts support via mobile app regarding a damaged issue on an order valued at \$49, 5 days after the order date. The agent confirms the account standing, reviews the carrier signal, and applies rule DAMAGE-CLAIM from this Policy. If the conditions in DAMAGE-CLAIM are met, the agent resolves in the customer's favor and records the outcome; otherwise the case is routed per the escalation matrix below. Document POL-CX-005 reference DAMAGE-CLAIM-013 is attached to the case for audit.

Example 14. A loyalty member contacts support via partner marketplace regarding a damaged issue on an order valued at \$240, 11 days after the order date. The agent confirms the account

standing, reviews the carrier signal, and applies rule DAMAGE-CLAIM from this Policy. If the conditions in DAMAGE-CLAIM are met, the agent resolves in the customer's favor and records the outcome; otherwise the case is routed per the escalation matrix below. Document POL-CX-005 reference DAMAGE-CLAIM-014 is attached to the case for audit.

6. Exceptions & Edge Cases

- Orders flagged by the fraud system are always escalated regardless of value.
- Clearance (CLR-) and final-sale items are excluded from standard resolutions.
- International orders are additionally subject to the Customs & Duties Policy (POL-CX-019).
- Repeated claims from the same account within 30 days trigger a manual review.
- Gift-card-funded orders are refunded to store credit, not the original tender.

7. Escalation Matrix

Condition	Route To	SLA
Within thresholds, high confidence	Auto / Agent resolve	Immediate
Value over \$150	Team Lead	4 hours
Fraud signals present	Fraud Review (POL-CX-003)	24 hours
Customer dispute after resolution	Senior Agent	1 business day

8. Frequently Asked Questions

Q1. What if the customer disputes the damaged outcome?

Re-review the case against DAMAGE-CLAIM. If the customer remains dissatisfied, escalate per the matrix; do not exceed the goodwill caps without approval.

Q2. How is this logged?

Every decision is recorded in the case management system with the rule code applied and the agent identifier, for quality and pattern analysis.

Q3. Can automated systems apply this damaged policy?

Automated resolution may apply this Policy only within the confidence and value thresholds defined in the governing risk policy; otherwise a human approves.

Q4. Does this damaged policy apply to clearance (CLR-) items?

Clearance and final-sale items follow the exclusions stated in the Detailed Rules; agents should confirm the SKU prefix before acting.

Q5. What if the customer disputes the damaged outcome?

Re-review the case against DAMAGE-CLAIM. If the customer remains dissatisfied, escalate per the matrix; do not exceed the goodwill caps without approval.

Q6. How is this logged?

Every decision is recorded in the case management system with the rule code applied and the agent identifier, for quality and pattern analysis.

Q7. Can automated systems apply this damaged policy?

Automated resolution may apply this Policy only within the confidence and value thresholds defined in the governing risk policy; otherwise a human approves.

Q8. Does this damaged policy apply to clearance (CLR-) items?

Clearance and final-sale items follow the exclusions stated in the Detailed Rules; agents should confirm the SKU prefix before acting.

Q9. What if the customer disputes the damaged outcome?

Re-review the case against DAMAGE-CLAIM. If the customer remains dissatisfied, escalate per the matrix; do not exceed the goodwill caps without approval.

Q10. How is this logged?

Every decision is recorded in the case management system with the rule code applied and the agent identifier, for quality and pattern analysis.

9. Related Policies

This Policy operates alongside the Refund & Replacement Policy (POL-CX-001), the Fraud Review Policy (POL-CX-003), the Returns & Exchanges Policy (POL-CX-004), and the Shipping Delay & Compensation Policy (POL-CX-002). Where guidance conflicts, the more specific policy governs.

10. Revision History

Version	Date	Summary
0.9	2024-03-01	Initial draft
1.0	2025-01-15	First approved release
1.3	2026-01-01	Current effective version